

on its invested capital. But the low price of Mack Trucks presented another anomaly. The decline in the investment status of the railroads had been due largely to the growth of motor-truck competition and to the pervading fear that such competition would continue to attract traffic from the railways. On this premise the long-term outlook for heavy truck manufacturers should have seemed unusually good. Hence to the analyst the exceedingly subnormal price of Mack Truck shares had an especially illogical appearance.”

Year	Available for common	Per share	Dividends paid
1932	\$1,480,000(<i>d</i>)	\$2.19(<i>d</i>)	\$1.00
1931	2,150,000(<i>d</i>)*	2.90(<i>d</i>)*	2.25
1930	2,008,000	2.67	5.50
1929	6,841,000	9.05	6.00
1928	5,915,000	7.83	6.00
1927	4,707,000	6.60	6.00
1926	7,716,000	10.81	6.00
1925	8,331,000	13.64	6.00 and 50% in stock
1924	5,083,000	11.97†	6.00
1923	5,866,000	13.81†	5.00
Average	4,284,000	7.13	

* Before extraordinary write-down of tools, etc., to \$1.

† Adjusted for 50% stock dividend paid Dec. 31, 1925.

Sequel and Discussion: The subsequent developments in the Mack Truck situation may be summarized in the following table:

Year	Earned per share	Dividend paid	Price range
1933	1.42(<i>d</i>)	1.00	46 ³ / ₈ –13 ¹ / ₂
1934	0.03	1.00	41 ³ / ₄ –22
1935	0.66(<i>d</i>)	1.00	30 ³ / ₄ –18 ⁵ / ₈
1936	2.41	1.50	49 ¹ / ₄ –27 ³ / ₈
1937	2.15	1.25	62 ¹ / ₄ –17 ³ / ₈
1938	1.56(<i>d</i>)	0.25	32 ¹ / ₂ –16
1939	1.14	0.50	33 ³ / ₄ –18

The expectation of a return of adequate earnings on invested capital has clearly failed of realization. The reasons appear to be related, first, to a lack of